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China Sportswear

Stock implications on three scenarios of Nike China's online strategy

CITI'S TAKE

In our view, **Topsports'** continuous share price decline last Fri (after its clarification announcement on Thur night, see [Citi's Jun 25 note](#)) indicates the market's pessimistic expectation that **Nike** will terminate its online distributorship with its top China retailers (i.e., **Topsports** will lose its entire **Nike's** online biz, which represents ~22% of group sales). We anticipate **Nike** to give some color on its future China online distribution strategy upon 4QFY26 results on morning of July 1, HKT, with three likely scenarios (detailed below). If **Nike** confirms its intention to terminate China retailers' online distributorship, we expect positive stock implication on Chinese & other int'l sports brands (including **Anta/Puma China, Li Ning, Adidas China**) and negative stock implication on **Nike China** eco-system companies. If **Nike** reiterates its collaboration with top China retailers for online distribution, we expect a strong rally of **Topsports** and positive implication on other **Nike China** eco-system companies.

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Scenario 1: Indicating termination of China retailers' online distributorship—If **Nike** intends to execute the strategy that the market has priced in for **Topsports'** shares, we expect **Nike** to operationally lose market shares in China in 27E, with positive stock implication on Chinese & other int'l sports brands (incl, **Anta/Puma China, Li Ning, Adidas China**) and negative stock implication on **Nike China** eco-system companies. In our view, **Nike's** China retailers have developed sophisticated and unique online distribution biz models (including store-based live streaming commerce, store-fulfillment based instant retail, private-domain based e-com). Those online biz with strong "China characteristics" cannot easily be recaptured by **Nike's** online DTC channel, in our view. With the termination of online biz, its China retailers' big-sized **Nike** offline stores will also lose appeal to China consumers with an omni-channel reach in the competitive marketplace. Furthermore, almost all China retailers carry **Nike's** rival brands (especially **Adidas**) with no brand exclusivity arrangement. China retailers' loss of **Nike** online distributorship may result in their shift of resources toward rival brands (incl. **Adidas** and leading Chinese brands) and likely more closure of retailers' **Nike** offline stores. **Nike** may also lose the strong support of China retailers (which have strong local know-how) amid future geopolitical uncertainty. Lastly, **Nike's** termination of China retailers' online distributorship (which is intended for its future lift of retail ASP) might be deemed as an action of restricting competition and possibly subject to the anti-trust review of China market regulators. All of the above would result in a prolonged period for **Nike** to recover its brand equity and sales in the China market, in our view.

Scenario 2: Reiterating collaboration with top China retailers to optimize China online distribution – If **Nike** mgt indicates its intention to continuously collaborate with its top China retailers, it will be a win-win scenario for both **Nike** and its China retailers, with **Nike's** likely stabilized market share in China in 27E. In our view, areas of their possible collaboration include **Nike** top retailers' (incl **Topsports**) consolidation of small distributors' online biz, enhancing differentiated products for online vs offline channels, and top retailers' closer monitoring of online pricing in the

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whole market. This scenario will have positive stock implication on **Nike's** top China retailers (**Topsports**) and other **Nike China** eco-system companies.

Scenario 3: Vague indication on future online distribution strategy. –If **Nike** mgt fails to give clear direction on its China online strategy, we expect the market to continue to price in the likelihood of Scenario 1, even if **Nike** is working towards the direction of Scenario 2. This would have positive stock implication on Chinese & other int'l sports brands (i.e., **Anta/Puma China, Li Ning, Adidas China**) and negative stock implication on **Nike China** eco-system companies.

Companies Mentioned:

adidas (ADSGn.DE; €181.7; 1; 26 Jun 26; 17:30) | Anta Sports Products (2020.HK; HK\$68.75; 1; 26 Jun 26; 16:10) | Li Ning (2331.HK; HK\$14.92; 1; 26 Jun 26; 16:10) | Nike Inc (NKE.N; US\$40.75; 2; 26 Jun 26; 16:00) | PUMA SE (PUMG.DE; €26.8; 1; 26 Jun 26; 17:30) | Topsports (6110.HK; HK\$1.81; 1; 26 Jun 26; 16:10)

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